U.S. history: 1.05%. As the current wave (5) progresses to its destination, the average of these figures will fall even lower. Consider the fact that the commission charges on a purchase and sale of stock (a "round trip") at an average brokerage firm are *at least* 2.5 to 3%, sometimes much more. Investors today, then, are buying stock that for the first one to three years has *no yield*. In other words, they are willing to trade a one- or two-year *negative return* for the promise of a capital gain and in preference to a riskless yield provided by Treasury bills of 5.7%! These facts eliminate dividend return as a current reason for owning stocks. They show that people who own stocks are relying solely on a conviction that the market is headed substantially higher. They show that people view stocks as being less risky than Treasury bills. Indeed, article after article refers to the "risk of missing gains" as being more important than the risk of loss. This is an optimism so extreme that is has not been seen in the West for nearly three centuries, when the South Sea Bubble and Mississippi Scheme were running wild in England and France.

Notice in Figure 10-2 that levels of overvaluation and undervaluation have been reached in proportion to the degree of the wave that is terminating. Cycle degree extremes are less than Supercycle degree extremes. The fact that the current extreme is greater than those of 1929, 1937 and 1966, which were Cycle and Supercycle degree tops, confirms our thesis that the approaching top is of Grand Supercycle degree.

The case of the Dow Jones Transportation Average is of particular interest. As Chapter 6 mentioned, the index has suffered several years of "negative earnings" (i.e., losses), so the record high valuation is apparently based upon the less than awe-inspiring projection that the companies in the DJTA will actually earn a profit. If investors were buying a vision, it would have to be one of an unprecedented industry turnaround and twenty years of record growth, as described in Chapter 6. Even after such events, though, these stocks would be only *fairly* valued, so what would push them up yet further to give current owners a gain? In truth, there is no vision at all, because none can be justified. Accompanying today's market optimism, then, is simply plenty of denial.

Needless to say, if the economic outlook presented in Chapter 13 comes to pass, thousands of companies (yes, including many in the Fortune 500 and even the DJIA) will be cutting or eliminating dividends. Widespread dividend reductions will serve to retard the